

PROP DAO

The Future of Prop Firms



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1. Abstract

This whitepaper introduces PropDao, a decentralized trading protocol that allows for simulated trading with real rewards. Fully EVM-compatible, PropDao is powered by the \$PROP token, enabling seamless transactions, decentralized services, and on-chain operations. The platform features PropDao protocol, a decentralized prop firm model offering the low risk of a prop firm and the decentralization of crypto.



propdao

2. Introduction

In a world where talented traders are unable to trade due to geographic restrictions, limited personal capital, and unfair centralized systems, PropDao delivers the first truly decentralized proprietary trading platform on Arbitrum.

Traders pay a small crypto fee to enter simulated challenges using virtual capital, minimizing personal risk. Smart contracts enforce transparent rules, removing bias, manual reviews, and disputes. Passing unlocks simulated funded accounts with real crypto rewards paid instantly from protocol revenue.

Built on Arbitrum's low-fee and high-speed Layer 2 blockchain, this decentralized ecosystem removes gatekeepers, opens capital access, and rewards skill over luck, redefining prop trading for the DeFi era.

3. What is a Prop Firm?

A proprietary trading firm or a prop firm is a company that allocates simulated capital to traders in exchange for an evaluation fee, allowing them to trade financial markets such as forex, futures, stocks, commodities, or cryptocurrencies.

How the Prop Firm Model Works:

3.1 Evaluation / Challenge Phase:

- Traders pay a one-time or recurring fee typically \$100–\$600, depending on the simulated account size (e.g., \$10K to \$200K virtual capital.)
- They trade in a simulated environment under strict rules.
- Key requirements include:
 - Achieving a profit target, usually 8-10%.
 - Staying within drawdown limits usually 2–3% maximum daily drawdown, 4–6% overall.
 - Meeting consistency rules, for example no single trade greater than 30–50% of profits.
 - Completing the phase within time limits or with minimum activity for example minimum 5 trading days with 0.5% profit.

3.2 Funded Phase

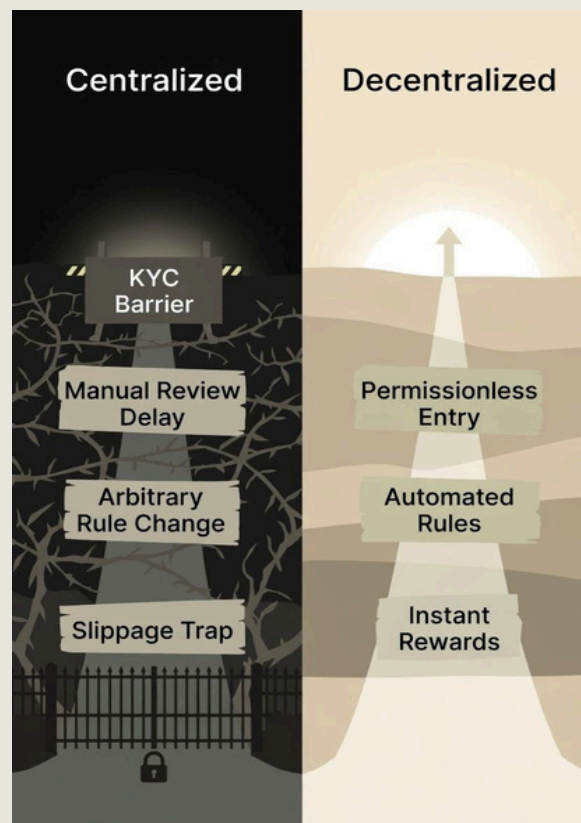
- Upon passing, traders gain access to a "funded" account, often still simulated in many firms.
- Traders continue trading under similar rules.
- Losses are absorbed by the firm, trader's downside is limited to the initial evaluation fee.
- Traders are able to access payouts every 2 weeks to withdraw profits.

This model has attracted millions of retail traders by promising access to large capital without personal risk beyond the fee, but still has many flaws.

3.3 Common Problems and Drawbacks with the Centralized Prop Firm Model

While the concept is appealing, centralized prop firms suffer from structural issues such as:

- Opaque & Manipulable Rules:
 - Retroactive rule changes like tightening drawdown limits, banning strategies mid-challenge, or altering payout terms after success.
 - Arbitrary enforcement or hidden restrictions like news trading bans or weekend holding fees.
- Payout Problems:
 - Delayed, denied, or reduced payouts due to various excuses.
 - Firms vanishing and denying millions in payouts due to bankruptcy.
- Payout Problems:
 - Lack of verifiable transparency, as traders can't audit performance tracking, pricing feeds, or rule enforcement.
 - Single points of failure: manual oversight leads to bias, disputes, or scams.



4. The Solution

PropDao delivers a completely new, unique approach by creating a fully decentralized, on-chain platform built natively on the Arbitrum ecosystem. Every stage of the process uses smart contracts only, ensuring there is no human bias.

Anyone with a wallet can join simulated evaluation challenges by paying a small crypto fee. This unlocks an account fed by real-time market data from Arbitrum oracles and replicas of decentralized exchanges. All performance criteria such as profit targets, maximum and daily drawdown limits, consistency requirements, minimum trading days, and verifiable prohibitions on certain strategies are strictly enforced through smart contracts.

4.1 Core Architecture

The protocol consists of two main smart contracts:

- **SimUSDC** (an ERC-20 token contract): Represents all simulated capital across the platform, minted upon challenge entry.
- **PropFirmProtocol** (the main logic contract): Handles accounts, challenges, positions, rules, and payouts.

4.2 Simulated Token Mechanics (sUSDC)

All capital in the system is virtual and represented by a single ERC-20 simulated token called **sUSDC**. The token holds no real world value, is non-transferable, and only usable in the protocol. Upon passing the challenge all sUSDC is burned and a different token called **fUSDC** is minted into the wallet.

- Minting and burning are restricted to the PropDaoProtocol contract.
- On challenge entry or funded upgrade, the protocol mints sUSDC/fUSDC directly to the trader's wallet.
- On position open, the equivalent of sUSDC/fUSDC is burned as collateral.
- The sum of sUSDC/fUSDC and open positions in the protocol is calculated every minute to keep track of account breaches.
- On position close, sUSDC/fUSDC is reminted to reflect profit or loss.
- Only fUSDC can be redeemed for rewards.

4.3 Account Management

To simplify logic, the protocol strictly enforces **one active account per wallet address**.

- You can purchase multiple accounts, but attempting to activate a new challenge while an account is active reverts with "Only one active account per wallet allowed." You will only be able to activate another account on that wallet if the challenge ends up breaching rules.
- You are able to purchase multiple accounts on one wallet, but only one is allowed to be activated.
- Traders who want multiple accounts simply use separate wallets.

4.4 Challenge Entry & Simulated Capital Assignment

1. Trader pays the entry fee (ETH or USDC) via the protocol contract.
2. The contract checks that no active account exists on the wallet.
3. It assigns a tier-specific amount of simulated capital (e.g., \$10K, \$50K, \$100K) and immediately mints that exact amount of sUSDC to the trader's wallet.

4.5 Position Mechanics

When opening a position:

- Trader selects the trading pair, direction, size, and optional stop/take-profit.
- The protocol calculates required collateral based on size.
- Trader must approve and burn that exact amount of sUSDC from their wallet.
- The position exists only inside the protocol and is visible via the dApp dashboard.

While open, unrealized P/L is calculated live using oracle prices and factored into total equity for drawdown and rule checks.

When closing (manual or auto):

- Contract fetches latest oracle price.
- Calculates final P/L.
- Remints sUSDC to the wallet: original collateral + profit/loss.
- Position record is cleared.
- Updated equity feeds back into all rule checks.

4.6 Automated Rule Enforcement & Evaluation

All rules are hardcoded in the contract and checked on every trade close and periodic mark-to-market:

- Profit target.
- Daily and maximum drawdown limits.
- Consistency rules.
- Minimum trading days.

4.7 Pass → Funded Transition

When all criteria are met:

- Contract automatically burns any remaining challenge-phase sUSDC.
- Mints a different token called fUSDC.
- Trader continues trading with the new simulated balance.

4.8 Reset Mechanism

On breach, traders can pay a discounted reset fee. The contract:

- Collects the fee.
- Burns current sUSDC.
- Re-mints the original starting amount.
- Resets all metrics and reactivates the account.

4.9 Real Crypto Payouts

Payouts are **real** tokens (USDC, ETH, governance token) and come from protocol revenue:

- Trader requests payout from the funded account.
- The contract calculates their share (80–90%), based on what the trader selected in the beginning.
- Instantly transfers real tokens from the treasury. Revenue sources: entry fees, reset fees, and small retained performance share.

5. Governance & Upgrades

The DAO will control:

- Rule thresholds.
- Fee structures.
- New asset additions.
- Treasury spending.

6. Tokenomics

The total supply of the PROP token is fixed at 100,000,000 tokens — there is no minting after the initial creation, and no ongoing inflation mechanism.



Token distribution:

Presale - 45% of total tokens will be set aside for the presale

Liquidity - 20% of tokens will be used for liquidity

Treasury - 15% of tokens will be used to issue payouts

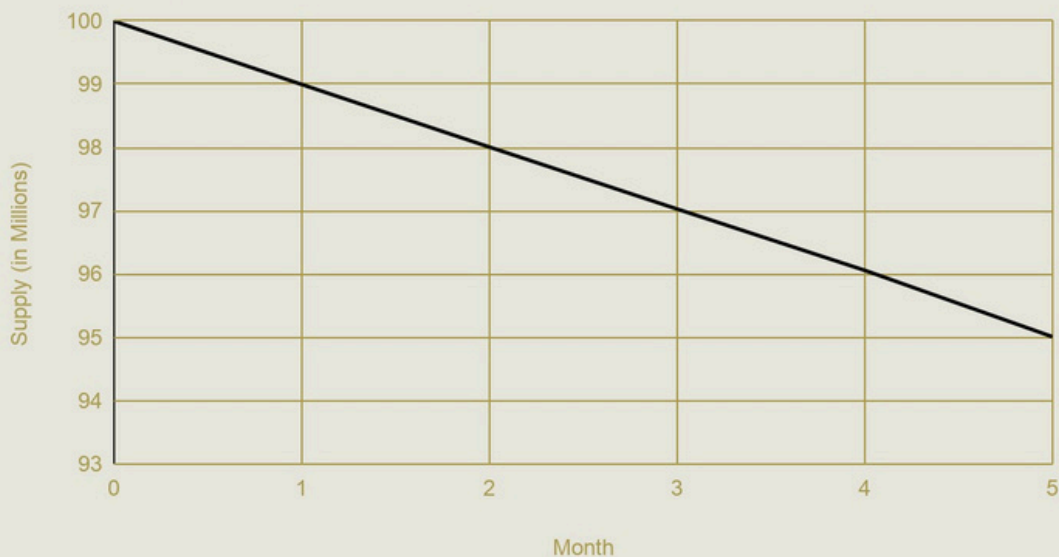
Developers - 12% of tokens will be used to fund developers for the project

Marketing - 8% of tokens will be used by the marketing team

6.1 Fee Structure

Each transaction executed within the ecosystem will incur a 1% protocol fee. Instead of being redistributed or stored in a treasury, this fee will be sent to a burn address, effectively removing the tokens from the circulating supply permanently.

Circulating Supply



7. Roadmap

Phase 1: Foundation & Testnet (Q2-Q3 2026)

Smart contract development

Internal testing + security audit

Phase 2: Audit, Token & Mainnet Launch (Q4 2026-Q1 2027)

Smart contracts completed

Second full smart contract audit

PROP token contract deployed

Liquidity pool creation

Full mainnet deployment

Governance contracts live

Phase 3: Growth & Optimization (Q1-Q2 2027)

UI/UX upgrades + mobile responsiveness

First major marketing campaign + exchange listings (if applicable)

Phase 4: Maturity & Innovation (Q3 2027 onward)

Full DAO autonomy

Global adoption push with localized communities and translations

